

IRELAND  
2010

**1. Overview of the tax-benefit system**

Unemployment Benefit (Jobseeker's benefit) is a weekly payment for persons who have made social security contributions and are out of work. Payment is made at flat rates with reduced amounts for persons who had low earnings while in work.

Unemployment Assistance (Jobseeker's allowance) is paid to those unemployed who have exhausted their entitlement to Unemployment Insurance or who do not qualify for that payment. Unemployment Assistance is means tested. Payment is made at flat rates reduced by the amount of any means.

Additions are made to Unemployment Benefit and Unemployment Assistance for any adult or child dependants while family benefits are universal. There are four schemes designed to facilitate the return to work by the unemployed and to aid families on lower incomes.

**1.1. Average worker wage (AW)**

The 2010 average wage (AW) was EUR 32 308.

## **2. Unemployment Benefit (Jobseeker's benefit)**

### **2.1 Conditions for receipt**

- To be aged 16 or over, and under 66.
- Be unemployed.
- Be under pension age.
- Be capable of work.
- Be available for full time work.
- Be genuinely seeking work.
- Prove unemployment in the prescribed manner.
- To have suffered a substantial loss of employment and a resulting loss of earnings.
- To be fully unemployed for at least 3 days in any period of 6 consecutive days.

#### **2.1.1 Employment conditions**

To be fully unemployed for at least 3 days in any period of 6 consecutive days. Sunday is not counted for this calculation.

#### **2.1.2 Contribution conditions**

To have 52 contributions paid since starting work and to have 39 paid social insurance contributions in the last Governing Contribution Year, or have at least **26 reckonable contributions** paid in both the Governing Contribution Year and the year immediately preceding the Governing Contribution Year.

### **2.2 Calculation of benefit amount**

Flat rate payments are made for each week/day of unemployment. Increases are paid for dependent children and dependent adults.

#### **2.2.1 Calculation of gross benefit**

##### **Weekly rates (in EUR)**

|                          |        |
|--------------------------|--------|
| Personal rate            | 196.00 |
| Qualified Adult increase | 130.10 |
| Each qualified child     |        |
| Full rate                | 29.80  |
| Half rate                | 14.90  |

Where weekly earnings while in employment were below certain amounts reduced rates of payment are made.

Jobseekers's Benefit rates are graduated according to earnings in the relevant tax year.

| Average weekly earnings<br>(in EUR) | Personal rate (in EUR) | Qualified adult increase (in<br>EUR) |
|-------------------------------------|------------------------|--------------------------------------|
| Less than 150.00                    | 88.1                   | 84.3                                 |
| 150.00 and less than<br>220.00      | 126.6                  | 84.3                                 |
| 220.00 and less than<br>300.00      | 153.3                  | 84.3                                 |
| 300.000 or more                     | 196                    | 130.1                                |

If the person was in receipt of Jobseeker's Allowance prior to 26 September 2007, he may get a reduced rate qualified adult increase if his or her spouse or partner has earnings or income in excess of €100.00 and up to €310.00 gross per week.

Any increases due for dependent children are not earnings related

#### 2.2.2 *Income and earnings disregards*

Where a person in receipt of Unemployment Benefit is employed for a day or part of a day no payment is made for that day. Earnings from employment are not assessed.

One can get an increase of €26.00 for each qualified child if one qualifies for an increase for a qualified adult or if one is parenting alone. If the person does not qualify for an increase for a qualified adult, he may get a half-rate qualified child increase, if the spouse or partner has an income of €400 or less a week.

If the person was in receipt of Jobseeker's Allowance prior to 26 September 2007, he may get a reduced rate qualified adult increase if his or her spouse or partner has earnings or income in excess of €100.00 and up to €310.00 gross per week.

#### 2.3 ***Tax treatment of benefit and interaction with other benefits***

The first EUR 13 per week of Unemployment Benefit payment and the dependant child element are disregarded for tax purposes.

#### 2.4 ***Benefit duration***

Payable for 15 months (390 days – 6 days per week), after a 3-day waiting period. Where the claimant has paid less than 260 contributions duration of Unemployment Benefit shall be limited to 312 days.

Changed from 15 October 2008, according to the website

([http://www.citizensinformation.ie/categories/social-welfare/social-welfare-payments/unemployed-people/unemployment\\_benefit](http://www.citizensinformation.ie/categories/social-welfare/social-welfare-payments/unemployed-people/unemployment_benefit))

Reference date for all information is **July 1<sup>st</sup> 2010**

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From 15 October 2008, Jobseeker's Benefit can be paid for a maximum of **12 months** to:

- New claimants who have at least 260 paid contributions
- People getting Jobseeker's Benefit for less than 6 months on 15 October 2008 who have at least 260 paid contributions.

From 15 October 2008, Jobseeker's Benefit can be paid for a maximum of **9 months** to:

- New claimants who have less than 260 paid contributions
- People getting Jobseeker's Benefit for less than 3 months on 15 October 2008 who have less than 260 paid contributions.

## **2.5      *Treatment of particular groups***

### **2.5.1      *Young persons***

A person under 18 years of age is entitled to 156 days of Unemployment Benefit (26 weeks only), after which entitlement is expired. If however, he/she reaches age 18 on or before expiry of 156 days, he/she is entitled to Unemployment Benefit for up to 312 days (from the original date of claim).

### **2.5.2      *Older workers***

If applicant is 65, the benefit can be paid until 66 (pension age) if 156 weekly contributions have been paid.

### **2.5.3      *Others if applicable***

Those in receipt of lone parent allowance or a widow's (contributory) pension receive half of the personal rate, and no dependants' allowance

### **3. Unemployment assistance (Jobseeker's Allowance)**

Unemployment assistance is paid to unemployed people who do not qualify for unemployment benefit or who have exhausted their entitlement to that benefit. It is income and asset-tested.

#### **3.1 Conditions for receipt**

- Be aged 18 or over, and under the pension age of 66.
- Be fully unemployed for at least 3 days in any period of 6 consecutive days.
- Be capable of work.
- Be available for full time work.
- Be genuinely seeking work.
- Satisfy the conditions as to means.
- Prove unemployment in the prescribed manner.

#### **3.2 Calculation of benefit amount**

##### **3.2.1 Calculation of gross benefit**

The payment is made up of a personal rate and extra amounts for the dependants and is made for each day unemployed

##### **Weekly rates**

| Personal rate        | EUR    |
|----------------------|--------|
| Maximum rate         | 196.00 |
| Adult dependant      | 130.10 |
| Each qualified child |        |
| Full rate            | 29.80  |

|                                                             |        |
|-------------------------------------------------------------|--------|
| Maximum personal rate where claimant is aged under 20 years | 100.00 |
| Increase for Qualified Adult                                | 100.00 |

##### **Under 20 rate for Jobseeker's Allowance**

Persons not affected:

- All 18 and 19 year olds who are entitled to an increase in respect of a Qualified Child;
- All 18 and 19 year olds whose period of interruption of employment started on or before April 29, 2009;
- People transferring to Jobseeker's Allowance immediately after exhausting

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Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

their entitlement to JB or those transferring from the Disability Allowance to Jobseeker's Allowance.

The personal rate of Jobseeker's Allowance was reduced to €100 per week for new claimants under 20 years of age (first week of May 2009). The maximum Increase for a Qualified Adult payable to a new Jobseeker's Allowance claimant aged under 20 was also reduced to €100 per week (first week of May 2009). However, there are some exceptions - see 'Rates' below.

If you are under 20 and getting Jobseeker's Allowance before the first week of May you were not affected by these changes.

There was no change to Jobseeker's Benefit for claimants under 20 years of age.

\* You can get an increase of €26.00 for each qualified child if you qualify for an increase for a qualified adult or if you are parenting alone. If you do not qualify for an increase for a qualified adult you may get a half-rate qualified child increase.

### **3.2.2**      *Income and earnings disregards*

- a) If recipient is working part-time or casually (up to 3 days per week) payments of Unemployment Assistance for the full week less 60 per cent of average net weekly earnings will be made. (If recipient has no child dependants, EUR 20 per day worked is first deducted from the average net weekly earnings and then 60 per cent of the balance is assessed as the weekly means.)
- b) If the person was in receipt of Jobseeker's Allowance prior to 26 September 2007, he may get a reduced rate qualified adult increase if his or her spouse or partner has earnings or income in excess of €100.00 and up to €310.00 gross per week.
- c) Unemployment Assistance is a means tested payment. Means include any income, pension, savings or property (except for own residence) which claimant or spouse might have. A reduced payment is made when the claimant has means.

### **3.3**      *Tax treatment of benefit and interaction with other benefits*

Not Taxable

### **3.4**      *Benefit duration*

Unlimited. It is paid from the first day for those who had an unemployment benefit claim, and after a three-day waiting period for those who cannot qualify for unemployment benefit.

### **3.5**      *Treatment of particular groups*

Reference date for all information is **July 1<sup>st</sup> 2010**

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3.5.1 *Young persons*

None

3.5.2 *Older workers*

None

3.5.3 *Others if applicable*

None

#### **4. Social assistance**

Basic Supplementary Welfare Allowance (SWA) provides financial support to those whose means are insufficient to meet their needs and those of their dependants.

SWA can consist of a basic weekly payment and/or a supplement in respect of certain expenses a person may not be able to meet. The supplements include Rent and Mortgage Interest Supplements.

There are two categories of claimants for basic SWA:-

- People who fail to meet the conditions for entitlement to a weekly social welfare or qualifying HSE payment.
- People who have applied for a social welfare payment and are getting a Basic SWA payment pending a decision on their claim.

##### **4.1 Conditions for receipt**

Subject to the legislation governing the scheme, every habitually resident person in the State whose means are insufficient to meet his/her needs and the needs of his/her qualified adult or child(ren) shall be entitled to Supplementary Welfare Allowance.

A number of categories are specifically excluded from receiving assistance. These are people in full-time work, people in full-time education and people involved in trade disputes. The qualified spouse and qualified child(ren) of a person involved in trade dispute are not excluded from SWA for the period of the strike.

A person will not be regarded as being in full-time work where he/she is employed for less than 30 hours a week.

##### **4.2 Calculation of benefit amount**

###### **4.2.1 Calculation of gross benefit**

The payment is made up of a personal rate and extra amounts for the dependants

###### **Weekly Rates (as of 1<sup>st</sup> July 2010)**

| Family situation         | Rates (in EUR) |
|--------------------------|----------------|
| Maximum personal rate    | 196.00         |
| Increase Qualified Adult | 130.10         |
| Each Qualified Child     | 29.80          |

Reference date for all information is **July 1<sup>st</sup> 2010**

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Supplementary Welfare Allowance rates for claimants under 25 from January 2010.

| <b>Supplementary Welfare Allowance maximum rate for people under 25 years of age</b> |                      |                                       |                            |
|--------------------------------------------------------------------------------------|----------------------|---------------------------------------|----------------------------|
| <b>Age</b>                                                                           | <b>Personal rate</b> | <b>Increase for a Qualified Adult</b> | <b>Applies to</b>          |
| 18 - 19                                                                              | €100                 | €100                                  | New and existing claimants |
| 20 - 21                                                                              | €100                 | €100                                  | New claimants              |
| 22 - 24                                                                              | €150                 | €130.10                               | New claimants              |

The reduced personal and qualified adult rate of Supplementary Welfare Allowance for claimants under 25 years of age do not apply in the following cases:

- People with dependent children
- People aged 18 or 19 on 30 December 2009 and getting SWA since 29 April 2009
- People at least 20 years of age on 30 December 2009 who are getting SWA since 30 December 2009
- Certain children in the care of the HSE during the 12 months before reaching 18 years of age will also be assessed using the JA rate for people aged 25 or over.

#### **4.2.2      *Income and earnings disregards***

There is a one-to-one income test using on Total net family income (including unemployment insurance, assistance, Back to Work Scheme, Part-time Job Incentive Scheme, lone parent benefits and Family Income Supplement). Family benefits are excluded.

#### **4.3      *Tax treatment of benefit and interaction with other benefits***

Not taxable.

#### **4.4      *Benefit duration***

As long as the conditions are fulfilled.

#### **4.5      *Treatment of particular group***

##### **4.5.1      *Young persons***

None

##### **4.5.2      *Older workers***

None

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4.5.3 *Others if applicable*

None

## **5. Housing benefits**

**Rent and Mortgage Interest Supplements** ensure that the recipient's income after paying rent/mortgage interest is not less than the Supplementary Welfare Allowance rate less an amount of €24.00 per week.

### **5.1 Conditions for receipt**

#### **Rent Supplement:**

Rent Supplement, which is payable under the Supplementary Welfare Allowance scheme, is paid to people living in private rented accommodation who cannot provide for the cost of their accommodation from their own resources.

At the time of application for a rent supplement, the claimant must:

- have been residing in private rented accommodation (where at the commencement of the tenancy the person could have reasonably afforded the rent and has experienced a substantial change in his or her circumstances where they are now unable to pay the rent) or accommodation for homeless persons or in an institution (or any combination of these) for a period of 183 days within the preceding 12 months of the date of claim for Rent Supplement,
- or
- have had an assessment of housing need carried out within the 12 months preceding the date of claim and have been deemed by the relevant local authority to be eligible for and in need of social housing support.

In all other cases, a person who wishes to apply for rent supplement will be referred, in the first instance, for an assessment of eligibility for social housing support by the local housing authority in the area where claim to rent supplement is made (and the person intends to reside). Only when the person has been assessed as being eligible for and in need of social housing support, does the person become eligible for consideration for rent supplement.

#### **To qualify for rent supplement a person:**

- must be in receipt of Social Welfare or Health Service Executive payment and satisfy the general conditions of entitlement to SWA but there are exceptions to this rule as outlined below in Section 4;
- must be a bona fide tenant;
- must satisfy the Health Service Executive that he/she has a housing need which he/she cannot meet from his or her own resources;

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

- must apply to the local housing authority for an assessment of housing needs, if requested to do so by the Health Service Executive
- must be Habitually Resident in the State.

In addition, the Health Service Executive must be satisfied that:

- The accommodation is suited to the person's needs;
- The amount of rent being paid is within limits set

Rent Supplement may be payable where the customer or spouse is engaged in full-time employment – subject to certain conditions. Where an existing Rent Supplement tenant has been accepted by the local housing authority as being eligible for accommodation under the Rental Accommodation Scheme, a person may engage in full time employment and still be considered for Rent Supplement, subject to their satisfying all of the other conditions of the scheme.

The Rental Accommodation Scheme is administered by local housing authorities under the aegis of the Department of the Environment, Housing and Local Government. Its purpose is to provide accommodation from the private rented market or through other social housing measures to persons with a long term housing need.

### **Mortgage Interest Supplement:**

Mortgage Interest Supplement provides short term support to eligible people who are unable to meet mortgage **interest** repayments in respect of a house which is their sole place of residence.

- A person may be entitled to a supplement towards the amount of mortgage interest payable in respect of his or her residence provided that:
  - The loan agreement was entered into at a time when, in the opinion of the Health Service Executive, the person was in a position to meet the repayments.
  - The residence in respect of which the loan is payable, is not offered for sale
  - He or she is habitually resident in the State
  - Gross household income does not exceed EUR 317.43 per week
- The Health Service Executive must be satisfied in all cases that:
  - The amount of the mortgage interest payable by the claimant does not exceed such amount as the Health Service Executive considers reasonable to meet his or her residential and other needs.
  - It is reasonable to award a supplement having regard to the amount of any arrears outstanding on the loan.
- In exceptional circumstances, the Health Service Executive may award a supplement where the amount of mortgage interest payable by a person exceeds such amount as the Health Service Executive considers reasonable to meet his or her residential and other needs. Such supplement is payable for a maximum of 12 months from the date of the claim.

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

## 5.2 Calculation of benefit amount

### 5.2.1 Calculation of gross benefit

Under standard SWA rules rent or mortgage interest supplements are normally calculated to ensure that a person, after the payment of rent or mortgage interest, has an income equal to the rate of SWA appropriate to their family circumstances less a minimum contribution, currently €24, which recipients are required to pay from their own resources. Many recipients pay more than €24 because recipients are also required, subject to income disregards, to contribute any additional assessable means that they have over and above the appropriate basic SWA rate towards their accommodation costs.

Rent Supplements are subject to a limit on the amount of rent that an applicant for Rent Supplement may incur. Rent Supplement is not normally paid where the rent payable to the landlord is in excess of the limits set out below. The HSE also has the authority to set levels below that provided for in regulations. The prescribed rent limits from 1<sup>st</sup> June 2010 are set out below:

| County                                                           | Single person<br>in shared<br>accommodation | Couple in<br>shared<br>accommodation | Single<br>person | Couple<br>with no<br>children | Couple<br>with 1<br>child or<br>one-parent<br>family with<br>1 child | Couple with<br>2 children<br>or one-<br>parent<br>family with<br>2 children | Couple<br>with 3<br>children or<br>one-parent<br>family with<br>3 children |
|------------------------------------------------------------------|---------------------------------------------|--------------------------------------|------------------|-------------------------------|----------------------------------------------------------------------|-----------------------------------------------------------------------------|----------------------------------------------------------------------------|
| DUBLIN: FINGAL                                                   | €350                                        | €390                                 | €529             | €770                          | €930                                                                 | €1,000                                                                      | €1,050                                                                     |
| DUBLIN:<br>Dun Laoghaire/Rathdown<br>South Dublin<br>Dublin City | €390                                        | €400                                 | €529             | €800                          | €930                                                                 | €1,050                                                                      | €1,100                                                                     |
| WICKLOW                                                          | €315                                        | €325                                 | €529             | €710                          | €850                                                                 | €900                                                                        | €910                                                                       |
| KILDARE                                                          | €320                                        | €325                                 | €485             | €600                          | €750                                                                 | €850                                                                        | €900                                                                       |
| LONGFORD                                                         | €195                                        | €200                                 | €345             | €350                          | €400                                                                 | €450                                                                        | €500                                                                       |
| WESTMEATH                                                        | €220                                        | €260                                 | €407             | €450                          | €550                                                                 | €590                                                                        | €600                                                                       |
| OFFALY                                                           | €220                                        | €240                                 | €407             | €485                          | €550                                                                 | €590                                                                        | €600                                                                       |
| LAOIS                                                            | €235                                        | €240                                 | €407             | €485                          | €550                                                                 | €590                                                                        | €600                                                                       |
| LIMERICK                                                         | €255                                        | €260                                 | €446             | €500                          | €605                                                                 | €650                                                                        | €700                                                                       |
| TIPPERARY NTH                                                    | €260                                        | €265                                 | €407             | €450                          | €550                                                                 | €640                                                                        | €655                                                                       |
| TIPPERARY STH                                                    | €250                                        | €255                                 | €468             | €455                          | €555                                                                 | €645                                                                        | €650                                                                       |
| CLARE                                                            | €220                                        | €260                                 | €407             | €450                          | €550                                                                 | €600                                                                        | €650                                                                       |
| LOUTH                                                            | €285                                        | €286                                 | €468             | €529                          | €600                                                                 | €685                                                                        | €700                                                                       |
| MONAGHAN                                                         | €195                                        | €200                                 | €368             | €390                          | €500                                                                 | €540                                                                        | €550                                                                       |
| CAVAN                                                            | €195                                        | €200                                 | €368             | €400                          | €450                                                                 | €500                                                                        | €510                                                                       |
| MEATH                                                            | €260                                        | €265                                 | €468             | €550                          | €650                                                                 | €700                                                                        | €750                                                                       |
| DONEGAL                                                          | €235                                        | €240                                 | €368             | €455                          | €500                                                                 | €550                                                                        | €560                                                                       |
| LEITRIM                                                          | €190                                        | €200                                 | €368             | €390                          | €400                                                                 | €450                                                                        | €500                                                                       |
| SLIGO                                                            | €220                                        | €240                                 | €407             | €485                          | €540                                                                 | €550                                                                        | €600                                                                       |
| WEXFORD                                                          | €260                                        | €300                                 | €468             | €520                          | €600                                                                 | €650                                                                        | €660                                                                       |
| WATERFORD                                                        | €270                                        | €280                                 | €468             | €470                          | €550                                                                 | €650                                                                        | €660                                                                       |
| CARLOW                                                           | €260                                        | €300                                 | €468             | €500                          | €600                                                                 | €650                                                                        | €660                                                                       |
| KILKENNY                                                         | €260                                        | €300                                 | €468             | €520                          | €600                                                                 | €650                                                                        | €665                                                                       |

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

|           |      |      |      |      |      |      |      |
|-----------|------|------|------|------|------|------|------|
| KERRY     | €235 | €240 | €407 | €500 | €550 | €640 | €650 |
| CORK      | €285 | €290 | €468 | €610 | €705 | €765 | €800 |
| MAYO      | €220 | €225 | €450 | €455 | €550 | €600 | €610 |
| GALWAY    | €255 | €260 | €468 | €550 | €700 | €750 | €760 |
| ROSCOMMON | €190 | €195 | €370 | €375 | €450 | €500 | €520 |

### 5.2.2 *Income and earnings disregards*

#### **Part-time earnings income disregard**

- The assessment of means for the rent and mortgage interest supplement schemes provides for a gradual withdrawal of payment as hours of employment or earnings increase.
- Payments do not automatically stop just because someone takes up an employment or training opportunities.
- Incentives are in place to ensure that those benefiting from rent or mortgage interest supplement can avail of any employment opportunity.

The assessment of means for the rent and mortgage interest supplement schemes provides for a gradual withdrawal of payment as hours of employment or earnings increase.

Those availing of part-time employment and/or training opportunities can continue to receive a rent or mortgage interest supplement subject to their satisfying the standard means assessment rules. Since June 2007, where a person has additional income in excess of the standard weekly rate of supplementary welfare allowance, the first €75 of such additional income together with 25% of any additional income above €75 is disregarded for means assessment purposes. This ensures that those returning to work or participating in training schemes are better off as a result of taking up such an opportunity.

Rent or mortgage interest supplement is not payable where a person or their spouse or partner is in full-time employment, i.e. for 30 hours or more a week.

However, a person on rent supplement, who is accepted as eligible for accommodation under the rental accommodation scheme (RAS), may return to full-time work, subject to a means test, without losing entitlement to their rent supplement payment.

#### **Mortgage Interest Supplement and full-time employment**

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

- Where a person, who has been unemployed for 12 months or more, and secures open market employment they may retain Mortgage Interest Supplement on the same tapered basis that applies to those participating in employment schemes, (75% in year 1, 50% in year 2, 25% in years 3 and 4), provided that:
  - He or she has been unemployed (but not certified unfit for work) for at least 12 months immediately prior to taking up employment;
  - The new job is full time i.e. at least 30 hours per week;
  - Gross household income does not exceed €317.43 per week (Family Income Supplement, PRSI + reasonable travel expenses, if applicable, are disregarded).
- This tapered payment option **only** refers to retention of Mortgage Interest Supplement.

### 5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable

### 5.4 *Treatment of particular groups*

## 6. **Family benefits**

Known as Child Benefit.

### 6.1 *Conditions for receipt*

Each dependent child under the age of 16, or under 19, if in full-time education qualifies

### 6.2 *Calculation of benefit amount*

#### 6.2.1 *Calculation of gross benefit*

|                                            | Rate per month from January<br>2010 (in EUR) |
|--------------------------------------------|----------------------------------------------|
| 1 <sup>st</sup> and 2 <sup>nd</sup> child  | 150.00                                       |
| 3 <sup>rd</sup> and subsequent<br>children | 287.00                                       |

Multiple births Special Grants Rate of Payment: Birth – 635.00 EUR, at age 4 – 635.00 EUR, at age 12 – 635.00 EUR.

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

Twins: Child Benefit is paid at 150% the normal monthly rate for each child. All other multiple births: 200% the normal monthly rate of Child Benefit is paid.

6.2.2 *Income and earnings disregards*

Not means-tested.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

None

6.4.2 *Older workers*

None

6.4.3 *Others if applicable*

**Early Childcare Supplement**

Early Childcare Supplement is paid to assist with childcare costs of children under 6 years. Payment is made automatically if Child Benefit is being paid for a child under 6 years. Annual rate for each child: 41.5\*12 EUR.

**Maternity Benefit:** Max rate per week: 270.00 EUR, Min rate per week: 225.80 EUR.

Maternity Benefit is paid for 26 weeks. At least 2 weeks and not more than 16 weeks leave must be taken before the end of the week in which the baby is due.

Conditions for receipt:

If employed: At least 39 weeks PRSI paid in the 12-month period before. **Or** At least 39 weeks PRSI paid since first starting work **and** at least 39 weeks PRSI paid or credited in the relevant tax year or in the tax year immediately following the relevant tax year. **Or** At least 26 weeks PRSI paid in the relevant tax year **and** at least 26 weeks PRSI paid in the tax year immediately before the relevant tax year.

If self-employed: 52 weeks PRSI contributions paid at Class S in the relevant tax year. **Or** 52 weeks PRSI contributions paid at Class S in the tax year immediately before the relevant tax year. **Or** 52 weeks PRSI contributions paid at Class S in the tax year immediately

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

following the relevant tax year. For example, if you are going on maternity leave in 2009, the tax year immediately following the relevant tax year is 2008.

If already getting a social welfare payment: Half-rate Maternity Benefit is payable if getting any one of the following payments:

- One-Parent Family Payment
- Widow's (Contributory) Pension
- Widow's (Non-Contributory) Pension
- Deserted Wife's Benefit
- Prisoner's Wife's Allowance
- Guardian's Payment (Contributory)
- Guardian's Payment (Non-Contributory)
- Death Benefit by way of Widow's/Widower's or Dependent Parents' Pension (under the Occupational Injuries Scheme)

### ***Disqualification from Maternity Benefit***

Payment will be stopped if you engage in insurable (paid) employment.

**Adoptive Benefit:** Max rate per week: 270.00 EUR, Min rate per week: 225.80 EUR.

-Payment to an adopting mother or a single male who adopts a child, paid for a continuous period of 24 weeks from the date of placement of the child

Conditions for receipt:

If employed: to qualify for Adoptive Benefit one must be in employment which is covered by the Adoptive Leave Act 1995 immediately before the first day of the adoptive leave and have at least:

- 39 weeks PRSI paid in the 12-month period before. **Or:** 39 weeks PRSI paid since first starting work **and** at least 39 weeks PRSI paid or credited in the relevant tax year or in the year immediately following the relevant tax year. **Or:** 26 weeks PRSI paid in the relevant tax year and at least 26 weeks PRSI paid in the tax year before the relevant tax year.

If self-employed:

- 52 PRSI contributions paid at Class S in the relevant tax year. **Or:** 52 PRSI contributions paid at Class S in the tax year immediately before the relevant tax year. **Or:** 52 qualifying PRSI contributions paid at Class S in the tax year immediately following relevant tax year.

## **7. Childcare for pre-school children**

Information is not available on the fraction of pre-school children in childcare. Children can enter school on their fourth birthday but must have started school by their sixth birthday.

### **7.1 Out-of-pocket childcare fees paid by parents**

All centre based childcare providers and larger scale home based child minders are obliged to register with the Health Service Executive, and provide information on the number of places and the type of childcare involved (i.e. full day, sessional etc). However, a significant aspect in Irish childcare is that parents often choose that it be provided by home-based childminders, many of whom if they are low scale operations, do not have to register with the HSE, and operate in the informal economy. Therefore, these figures of registered and notified childcare places would under-state the true figure.

There is no official figure for the average fees paid by parents for childcare. The CSO survey<sup>1</sup> which provided such data is now some 3 years out of date, and anecdotal evidence would suggest that this makes it no longer reliable.

Rates are not regulated by Government, and may depend on a number of factors such as;

- The age of the child
- Location
- Type of provider (e.g. community or private sector)
- Type of service
- Quality of service (i.e. if there are extras included)
- Parents income (e.g. community providers may charge less to social security recipients)

Average of costs of paid childcare are available in *Quarterly National Household Survey, Childcare, Quarter 1, 2005* ([http://www.cso.ie/releasespublications/documents/labour\\_market/current/qnhschildcare.pdf](http://www.cso.ie/releasespublications/documents/labour_market/current/qnhschildcare.pdf) ).

There is no legislation covering the rates to be charged for child care. Fees paid for childcare are not tax deductible, and are not taken into account when determining entitlement to benefits such as social assistance.

### **7.2 Child-care benefits**

There are no such cash benefits. Government policy is to support all child related costs incurred by parents, including childcare costs, through Child Benefit. See section 6.

Reference date for all information is **July 1<sup>st</sup> 2010**

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For parents who stay at home to care for children, the Home Carers Allowance may provide a tax credit of up to EUR 900. See section 10 for details.

7.2.1        *Conditions for receipt*

7.2.2        *Calculation of benefit amount*

7.2.2.1    Calculation of gross benefit

7.2.2.2    Income and earnings disregards

7.2.3        *Tax treatment of benefit and interaction with other benefits*

7.2.4        *Treatment of particular groups*

## **8. Employment-conditional benefits**

Several distinct employment-conditional benefits exist:

- a) Back to Work Allowance (BTWA).
- b) Family Income Supplement (FIS).
- c) Continued child dependant payment (CCDP).
- d) Part Time Job Incentive (PTJI).

### **8.1 Conditions for receipt**

### **8.2 Calculation of benefit amount**

#### **8.2.1 Calculation of gross benefit**

##### **a) BTWA**

The Back to Work Allowance (BTWA) was closed to new entrants from May 2009.

A weekly payment for unemployed people who set up their own business or get work. Recipients receive 75 per cent of social welfare payment for the first year, 50 per cent of the payment for the second year and 25 per cent of the payment for the third year. (Unemployed persons setting up their own business can qualify for a Back to Work Enterprise Allowance. Participants receive support for 4 years. Payment for the first year is 100 per cent of the weekly social welfare payment).

Only employers who can provide suitable jobs are eligible to participate. The work being offered must: be a minimum of 20 hours per week. You may also qualify, no matter what age you are, if you are getting one of the following payments for 15 months (or 12 months if you are aged 50 or over) ([http://www.citizensinformation.ie/categories/social-welfare/social-welfare-payments/social-welfare-payments-and-work/back\\_to\\_work\\_allow](http://www.citizensinformation.ie/categories/social-welfare/social-welfare-payments/social-welfare-payments-and-work/back_to_work_allow)) .

##### **b) FIS**

Pays 60 per cent of the difference between the net family income and an earnings limit. The earnings limit varies with family size. A minimum supplement of EUR 20 is payable.

| Family size | Weekly net earnings limit<br>(in EUR) |
|-------------|---------------------------------------|
| 1 Child     | 506                                   |
| 2 Children  | 602                                   |

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

|            |      |
|------------|------|
| 3 Children | 703  |
| 4 Children | 824  |
| 5 Children | 950  |
| 6 Children | 1066 |
| 7 Children | 1202 |
| 8 Children | 1298 |

c) CCDP

Recipient will continue to be paid for their children for 13 weeks if they get work for at least 4 weeks.

d) PTJI

Instead of Unemployment Assistance, recipients receive a flat rate weekly payment.

|               |        |
|---------------|--------|
| Single person | EUR    |
|               | 124.10 |
| Couple        | EUR    |
|               | 202.30 |

### **8.3 Tax treatment of benefit and interaction with other benefits**

Once an entitlement to the relevant benefit is established, it is not affected by income

### **8.4 Benefit duration**

- a) BTWA: 3 years. BTWEA: 4 years.
- b) FIS: 52 weeks (renewable).
- c) CCDP: 13 weeks.
- d) PTJI: indefinitely.

### **8.5 Treatment of particular group**

#### **8.5.1 Young persons**

None

#### **8.5.2 Older workers**

None

#### **8.5.3 Others if applicable**

None

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

## **9. LoneParent Benefits**

The One-Parent Family Payment (OFP).

### **9.1 Conditions for receipt**

To qualify for the One-Parent Family Payment, a person must:

- be the parent, step-parent, adoptive parent or legal guardian of a qualified child;
- be the main carer of at least one qualified child who must live with you (the OFP is not payable if the parents have joint equal custody of a child or children);
- have earnings of €425.00 or less per week;
- satisfy a means test;
- be habitually resident in Ireland, and
- not be living with a spouse, civil partner or co-habitant.

### **9.2 Calculation of benefit amount**

#### **9.2.1 Calculation of gross benefit**

The OFP is made up of a personal rate for the parent and of extra amounts for dependent children. The payment rate in 2010 was €196.00 per week – with a further €29.80 for each additional qualified child. This was lowered to €188.00 per week in 2011 – with the same additional €29.80 for each qualified child.

#### **In EUR, per week, age 65 or under**

| Assessable Means         | Benefit Rate  |
|--------------------------|---------------|
| Up to 7.60               | 196.00        |
|                          | 188 (2011)    |
| 7.60 to 10.10            | 193.50        |
|                          | 185.50 (2011) |
| Each 2.50 increase       | 2.50 decrease |
| Dependent child increase | 29.80         |

#### **9.2.2 Income and earnings disregards**

From January 2009:

Reference date for all information is **July 1<sup>st</sup> 2010**

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For those who are working, there is a EUR 146.50 per week disregard. In addition, only half of any earned income (minus income and social security taxes) in excess of the disregard to a maximum of EUR 425 earnings are counted as means. Benefit income is disregarded. Where earnings exceed EUR 425, half rate payment continues for a further 6 months. (This payment was dropped for 2004 but re-instated in 2005) Those in work can only receive half of the personal rate of unemployment benefit can be obtained, and there are no increases for child dependants

### **9.3      *Tax treatment of benefit and interaction with other benefits***

The OFP is taxable but not liable to social security contributions. Social insurance contributions, superannuation/PRSA contributions and trade union subscriptions are not taken into account in the assessment of earnings.

### **9.4      *Benefit duration***

The current OFP provides long-term income support to lone parents until their youngest child is aged 18, or 22 if in full-time education.

Legislative changes were introduced to the OFP in the Social Welfare (Miscellaneous Provisions) Act, 2010.

Under the amended scheme, for new customers, from 27 April, 2011, payment will be made until the youngest child reaches the age of 14;

### **9.5      *Treatment of particular group***

#### **9.5.1      *Young persons***

None

#### **9.5.2      *Older workers***

See 9.2.1 above

#### **9.5.3      *Others if applicable***

None

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

## 10. Tax system

Tax is levied on the combined income of both spouses. Either spouse may, however, opt for separate assessment, in which case the tax payable by both spouses must be the same as would be payable under joint taxation. A further option allows either spouse to opt for assessment as single persons in which case they are treated as separate units. The calculations presented in this Report are based on family taxation.

### 10.1 Income tax

#### 10.1.1 Tax allowances and credits

##### 10.1.1.1 Standard allowances

##### 10.1.1.2 Standard tax credits

- Basic reliefs: The single person's credit is € 1830 per year.
- Standard marital status reliefs: The married person's credit is €3660 per year (i.e. twice the basic credit of €1830).
- Employee credit: With the exception of certain company directors and their spouses and the spouses of partners in partnership cases, all employees, including (subject to certain conditions) children who are full-time employees in the business of their parents, are entitled to an employee credit of € 1830.
- Single-Parent Family Relief: The single parent family credit is EUR 1 830.
- Home Carers Allowance: This is a tax credit of €900 for families where one spouse works at home to care for children, the aged or incapacitated persons, where the carer spouse's income does not exceed €5079. A reduced measure of relief is granted for income between €5080 and €6620. This credit and the increased standard rate tax band for two income couples (see tax schedule below) are mutually exclusive but the person may opt for whichever is the more beneficial. The calculations within this Report take into consideration the New Carers Allowance.

#### 10.1.2 Income tax schedule

| Band of taxable Income (€) |                                |                                                                                                                                                  |                                          | Rate (%)     |
|----------------------------|--------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|--------------|
| Single/<br>Widow(er)       | Married Couple<br>(One Income) | Married Couple<br>(Two Incomes)                                                                                                                  | One-Parent<br>Families                   |              |
| Up to<br>36 400            | Up to<br>45 400                | Up to minimum of 45 400<br>to a maximum of 72 800<br>(threshold is increased by<br>the amount of the lowest<br>income to a maximum of<br>27 400) | 40 400<br>(2010)<br><br>36 800<br>(2011) | 20<br><br>20 |
| Balance                    | Balance                        | Balance                                                                                                                                          | Balance                                  | 41           |

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

### ***Low income exemption and marginal relief tax***

Where total income is less than or equal to the income exemption limit that income is exempt from tax.

#### Exemption limits:

| Single/Widowed             | EUR    |
|----------------------------|--------|
| Under 65                   | 5 210  |
| 65 and over                | 17 000 |
| Married                    |        |
| Under 65                   | 10 420 |
| 65 and over                | 34 000 |
| Children                   |        |
| One or two children (each) | 575    |
| Subsequent children        | 830    |

The marginal relief rate of tax applies where liability to tax at the marginal relief rate is less than that which would be chargeable under the normal tax schedule and where total income is less than twice the relevant exemption limit, otherwise tax is charged under the normal tax schedule.

- Marginal relief tax is charged, where applicable, at a rate of 40% on the difference between total income and the relevant exemption limit.

#### ***10.1.2. Income levy***

An income levy (on gross family income) was introduced on 1 January 2009. The following schedule applies from 1 January 2010.

| Income band (EUR) | Rate (%) |
|-------------------|----------|
| Up to 75 036      | 2        |
| 75 036 to 174 980 | 4        |
| Balance           | 6        |

#### ***10.1.3 State and local income taxes***

No State or local income taxes exist in Ireland

## 10.2 Treatment of family income

Tax is levied on the combined income of both spouses. Either spouse may, however, opt for separate assessment, in which case the tax payable by both spouses must be the same as would be payable under joint taxation. A further option allows either spouse to opt for assessment as single persons in which case they are treated as separate units. The calculations presented in this Report are based on family taxation

## 10.3 Social security contribution schedule

Contributions are payable as a percentage of an employee's gross earnings less allowable superannuation contributions. No distinction is made by marital status or sex. The first EUR 500 of weekly earnings are exempt from the health levy and the first EUR 352 of weekly earnings are exempt from social insurance. If the employee is not exempt, then an allowance of EUR 127 per week is applicable for social insurance contribution purposes. The first EUR 127 of weekly earnings are exempt from the social insurance contribution. This weekly exemption is non-cumulative in that the earner is no longer entitled to the weekly exemption when their cumulative annual earnings exceed the social insurance ceiling. An additional 0.5 per cent Health Levy contribution applies to income exceeding EUR 1 925 per week (EUR 100 100 p.a.). The following is a breakdown of the 2008 rate of contribution together with ceilings where applicable:

The following is a breakdown of the rates of contribution together with thresholds and ceilings (where applicable) for 2010:

| Description                  | Rate | Threshold (EUR) | Ceiling (EUR) |
|------------------------------|------|-----------------|---------------|
| Health Levy                  | 4.00 | 26 000          | 75 036        |
|                              | 5.00 | 75 036          |               |
| Pension and social insurance | 4.00 | 18 304          | 75 036        |

Like employees' contributions, employers' contributions are payable as a percentage of gross employee earnings less allowable superannuation contributions. The following is a breakdown of the 2008 rate of contribution:

| Description                  | Rate % | Ceiling (EUR) |
|------------------------------|--------|---------------|
| Occupational injuries        | 0.50   | No ceiling    |
| Redundancy contribution      | 0.40   |               |
| Pension and social insurance | 9.85   |               |
| TOTAL                        | 10.75  |               |

***The employers' contribution is reduced from 10.75 per cent to 8.5 per cent in respect of employees earning less than EUR 356 per week.******10.4 Treatment of particular group***

Reference date for all information is **July 1<sup>st</sup> 2010**

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**10.4.1**      *Young persons*

None

**10.4.2**      *Older workers*

None

**10.4.3**      *Others if applicable*

None

**10.5**      **Universal Cash Transfers**

**10.5.1**      ***Transfers related to marital status***

None.

**10.5.2**      ***Transfers for dependent children***

These are payable to all children under the age of 16 (or under 19 years, if the child is undergoing full-time education by day or is incapacitated and likely to remain so for a prolonged period). These payments do not depend on any insurance or on the means of the claimant. The amounts payable in 2009 are as follows:

| Period                        |  | Monthly rate per child            |                                 |
|-------------------------------|--|-----------------------------------|---------------------------------|
| January 2010 to December 2010 |  | First to second child: EUR 150.00 | Subsequent children: EUR 187.00 |

**10.5.3**      ***Transfers for low income families***

A non taxable family income supplement is payable to low income families where either the principal earner and/or the spouse are in full-time employment. Full-time employment is defined as working nineteen hours per week or more. The hours worked by the principal and the spouse can be aggregated for the purposes of this definition. When calculating income for the purposes of the relief superannuation payments, social welfare payments, tax payments, health and employment and training levies are all subtracted to arrive at disposable income.

The level of payment is dependent on the amount of family income and the number of children. The supplement payable is 60 per cent of the difference between the family income and the income limit applicable to the family. A minimum of EUR 20 per week is payable to eligible families. No supplement is payable to families with income in excess of the relevant income limit.

The income limit for a family with two children in 2010 is EUR 602 per week.

One Parent Family Payment: This new non taxable payment is available for men and women who for a variety of reasons are bringing up a child or children without the support of a partner. The payment which is means tested is payable in full where the persons earnings does not exceed EUR 7 618. Where earnings are between EUR 7 618 and EUR 22 100 a reduced payment is received. The amount of the full

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

payment for 2010 is EUR 6 552 plus EUR 1 550 for each child. Because of the complex means testing system this type of person is excluded from the AW examples.

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

## **11. Part-time work**

### **11.1 *Benefit rules for part-time work***

Part-time workers are entitled to UI benefits under the same scheme as full-time workers, ie provided they are available for full-time work. They have to fulfil the same qualifying conditions. Part-time workers can receive Unemployment Insurance/Assistance for days not worked. Part-time workers are covered by Social Insurance where earnings are in excess of EUR 38.

### **11.2 *Special tax and social security contribution rules for part-time work***

There are no special rules relating to part-time work.

Reference date for all information is **July 1<sup>st</sup> 2010**

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## **12. Policy developments**

### **12.1 Policy changes introduced: 2<sup>nd</sup> July 2009 – 1<sup>st</sup> July 2010**

Duration of Jobseeker's Benefit reduced to 12 months.

The Minister for Finance announced in the Supplementary Budget 2009 that the Health Levy rates will increase to 4% and 5% from 1 May 2009. The entry point to the higher rate will be EUR 75,036.

As a result of 2009 Budget Measures the Early Childcare Supplement will be paid monthly instead of quarterly and eligibility is being changed to reduce the period for which children qualify for the payment from 0-6 years to 0-5 years and 6 months. Furthermore as a result of the 2009 Supplementary Budget (April 2009) the Early Childcare Supplement monthly payment is to be halved to EUR 41.50 per child with effect from 1 May 2009 and abolished at end-2009. It will be replaced in January 2010 with a pre-school Early Childhood and Education Scheme (ECCE) for all children between the ages of 3 years 3 months and 4 years 6 months. A capitation grant will be payable to service providers who provide free pre-school services.

A new income levy was introduced in Budget 2009 and came into effect 1 January 2009. In the Supplementary Budget 2009 the income levy rates, thresholds and exemption limit were amended with effect from 1 May 2009.

### **12.2 Future policy changes announced since 1<sup>st</sup> July 2009**

#### **Reform of the One-Parent Family Payment**

Legislative changes were introduced to the One-Parent Family Payment (OFP) in the Social Welfare (Miscellaneous Provisions) Act, 2010, and these will come into effect from 27 April, 2011.

The current OFP provides long-term income support to lone parents until their youngest child is aged 18, or 22 if in full-time education.

Under the amended scheme, for **new customers**:

- payment will be made until the youngest child reaches the age of 14;
- there will be a special provision to allow for the continuation of the OFP for lone parents who are in receipt of the Domiciliary Care Allowance – payable until the child reaches the age of 16;
- there will also be a special provision for those who are recently bereaved (married, co-habiting, in a civil partnership), with no children under the age of 14, to claim the OFP for a period of up to 2 years from the date of death, or until their youngest child reaches the age of 18.

When the youngest child reaches the age of 14, if the parent is still in need of income support, they may then claim the Jobseeker's Allowance, or, if in low-paid employment of more than 19 hours per week and earning below the relevant income threshold, the Family Income Supplement.

### **Supplementary Welfare Allowance Changes 2010 to June 2011**

- From June 2010, new maximum rent limits for Rent Supplement were introduced which were on average 4% below the previous limits.
- From January 2011, a minimum differential of €2 between the weekly personal rate of basic supplementary welfare allowance and other Social Welfare schemes was introduced.
- As rent and mortgage interest supplement entitlements are based on the rate of basic supplementary welfare allowance, this resulted a reduction of €2 per week for the majority of RMIS claimants
- From January 2011, the landlord Tax Reference Number must now be provided as a pre-condition to entitlement for Rent Supplement.
- From January 2011, the Universal Social Charge, which *inter alia* replaced Health Contributions and Levies, was introduced. Health Contributions were allowable as deductions under the means test. The USC is NOT allowable as a deduction from customers' earnings or spouse/civil partner/cohabitant earnings for all supplementary welfare allowance schemes.
- From April 2011, new penalty rates apply to those who refuse to participate or to agree to participate on courses of training offered by the Department / FAS / National Employment Action Plan NEAP. The penalty rates for Supplementary Welfare Allowance are as follows:
  - Personal rate reduced by €42
  - 18-21 year-old rate reduced from €100 to €75
  - 22-24 year-old rate reduced from €144 to €111